

See Line 11 below.

3. 8:31 AM CASE NUMBER: C25-00957  
CASE NAME: EAST BAY MUNICIPAL UTILITY DISTRICT VS. MATT KAUFFMAN  
\*FURTHER CASE MANAGEMENT CONFERENCE  
FILED BY:  
\*TENTATIVE RULING:\*

The CMC is **continued** to June 18, 2026 at 9:00 a.m.

**Law & Motion**

4. 9:00 AM CASE NUMBER: C23-00688  
CASE NAME: BROUWER VS. REDWOOD HOLDINGS, LLC  
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT  
FILED BY: REDWOOD HOLDINGS, LLC  
\*TENTATIVE RULING:\*

Before the Court is a demurrer to plaintiff Helen Brouwer's First Amended Complaint (FAC), filed by defendant Redwood Holdings, LLC. The demurrer is **sustained without leave to amend**.

**I. Background**

According to the FAC, plaintiff was foreclosed upon by her lenders, Gregory Funding LLC and Gregory Funding Inc., and the property was sold to defendant at a non-judicial foreclosure sale on September 30, 2020. (FAC, ¶¶6-10.) The foreclosure sale took place during a State of Emergency in California due to the COVID-19 pandemic and "a period of legal uncertainty regarding the validity of foreclosure sales." (FAC, ¶¶12, 34.) Gregory Funding's license to conduct loan servicing activities had been restricted or revoked by the California Department of Real Estate, and defendant knew or should have known of these licensing issues. (FAC, ¶135.)

Defendant evicted plaintiff in January of 2021. (FAC, ¶¶42-43.) It then sold the property through a real estate broker for \$1,150,000, realizing a profit of at least \$430,000. (FAC, ¶¶36-39.) The sale price of \$1,150,000 was still substantially below the true fair market value, which remained approximately \$1,700,000 to \$2,175,000, suggesting the property was not properly marketed to maximize its value. (FAC, ¶¶40-41.) Plaintiff was over 80 when evicted by defendant. (FAC, ¶44.)

The FAC alleges that defendant, as a professional foreclosure purchaser regularly engaged in the business of purchasing foreclosed properties, owed plaintiff a duty of reasonable care to (1) conduct due diligence to ensure the foreclosure sale complied California law; (2) refrain from purchasing property at a foreclosure sale that lacked competitive bidding due to reasonably foreseeable circumstances that would deter prospective bidders; (3) refrain from purchasing property at a foreclosure sale conducted in violation of applicable COVID-19 emergency orders and statutory protections; (4) refrain from purchasing property at a foreclosure sale where the circumstances